

CAPITAL MARKETS

A Credit Committee Approved This Industrial Ground-Up. Here's What They Had to Believe.

Formation and Crescent's Phase II start in Goodyear tests whether speculative industrial still earns its risk premium.

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A source-grounded Light Tower Insight. The complete note follows.

A credit committee approved a speculative industrial ground-up in Goodyear, Arizona, in July 2026. That sentence contains the whole story. The rest is just the math they had to believe.

Formation Interests and an affiliate of Crescent Real Estate have broken ground on Phase II of Formation Park 10, a three-building expansion totaling 261,168 square feet on 44 acres west of Phoenix. When complete next spring, the project will span nearly 689,000 square feet across five buildings. The tenant target is explicit: occupiers seeking 100,000 square feet or more of single-tenant space, or those needing flexible layouts from 15,000 to 25,000 square feet. CBRE is handling leasing. Deutsche Architecture Group, Kimley-Horn, RVI, and Willmeng round out the project team.

The reported facts are clean. The interesting part is what the lender had to underwrite to say yes.

First, the lender had to believe that Phoenix industrial demand in 2027 will absorb 261,168 square feet of new supply on top of whatever else delivers between now and then. That is not a trivial assumption. The Phoenix industrial market has been one of the country's most active, but vacancy has drifted upward from cycle lows as construction completions outpaced net absorption. A lender approving this loan is betting that the tenant pipeline for big-box and flex space in Goodyear specifically will be deep enough to lease a three-building project within a reasonable lease-up period.

Second, the lender had to believe that the basis works at completion. Construction costs in the Southwest have not fallen meaningfully. Labor, materials, and entitlement timelines all carry upward pressure. The lender is underwriting a stabilized value that covers the loan balance plus a margin. That means believing the rent growth trajectory in the West Valley supports the projected basis. If rents flatten or slip, the loan-to-value at stabilization widens, and the lender's recovery position weakens.

Third, the lender had to believe that the sponsor structure is durable. Formation Interests and Crescent Real Estate are experienced, well-capitalized developers. But the venture structure matters. Crescent is an affiliate, not the parent. The lender is relying on the venture's balance sheet, not necessarily Crescent's full corporate guarantee. That is a narrower recourse pool. The credit committee had to be comfortable that the venture has enough equity and liquidity to carry the project

through a slower lease-up without triggering a default.

Fourth, the lender had to believe that the exit is credible. A construction loan on a speculative industrial project typically exits through a permanent loan or a sale. The permanent lending market for industrial has tightened. Life companies and banks are underwriting more conservatively on lease-up risk. The lender is betting that by spring 2027, the capital markets will be willing to refinance a partially leased industrial project at terms that allow the construction loan to be repaid. That is a bet on both the asset and the macro environment.

What the lender is not betting on is a quick flip. The project is speculative. There is no signed anchor tenant. The lease-up timeline is uncertain. The lender is providing time, not endorsing a thesis. That distinction matters.

For owners and sponsors watching this deal, the signal is not that industrial construction is back. It is that construction debt is available for projects with credible sponsors, a clear tenant profile, and a basis that can survive a slower market. The lender is not chasing yield. It is allocating risk to a specific set of conditions.

For lenders, the question is whether this deal represents the beginning of a broader reopening of construction lending or a one-off for a well-regarded sponsor. The answer will show up in the next few quarters. If more speculative ground-ups break ground in Phoenix and other Sun Belt markets, the credit committees are signaling that the risk premium on industrial development has narrowed enough to underwrite. If this remains an isolated start, the committees are still waiting for more evidence.

For operators and investors, the practical implication is straightforward. The market is not rewarding optimism. It is rewarding structure. The sponsors who can show a defensible basis, a credible team, and a realistic lease-up timeline will find capital. Those who cannot will wait.

The credit committee approved this loan. They believed the math, the sponsor, and the market. Now the project has to prove them right.

SOURCES

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<https://rebusinessonline.com/formation-interests-crescent-real-estate-break-ground-on-phase-ii-of-formation-park-10-in-goodyear-arizona/>

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